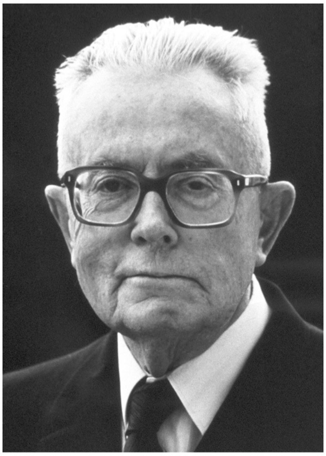

FIGURE 2.3 Maurice Allais, Prize winner in Economic Sciences (1988).
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to certain empirically realistic decisions under risk and uncertainty. In the Allais paradox, Allais asked subjects to make two hypothetical choices. The first choice was between alternatives "A" and "B," defined as:

A — Certainty of receiving 100 million (francs).

B — Probability 0.1 of receiving 500 million.

Probability 0.89 of receiving 100 million.

Probability 0.01 of receiving zero.

The second choice was between alternatives "C" and "D," defined as:

C — Probability 0.11 of earning 100 million.

Probability 0.89 of earning zero.

D — Probability 0.1 of earning 500 million.

Probability 0.9 of earning zero.[7]

It is not difficult to show that an expected utility maximizer who prefers A to B must also prefer C to D. However, Allais reported that A was commonly preferred over B, with D preferred over C. Note that although Allais's choices were hypothetical, the phenomenon he reported has subsequently been reproduced in experiments offering real—albeit much smaller—quantities of money.